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from the editor-in-chief

We have just about a fortnight to go for Diwali and you cannot miss the hush in marketplaces. Every day the news from the financial sector is grim, and the stock market has gone into freefall. It is safe to say that this is the end of good times, not just in distant western economies, but for India too.

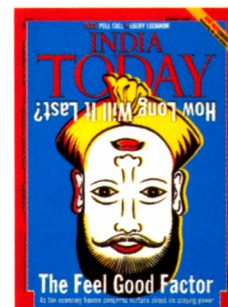
Given the inter-connectedness of world business, the fallout of the Wall Street tsunami was bound to have an effect here at home. For the last four years, India's growth has been driven by foreign fund flows. The health of the world economy in those four years meant that foreign institutional investors (FIIs) have pumped money into the Indian stock market and foreign direct investors into projects and private equity.

Now that there is turmoil in their home economies, India too is feeling the backlash. The money coming into India dried up and we lost as much as \$10 billion in FII funds in a few weeks. With investors back home pressing for redemptions, foreign funds have chosen to cut their losses and flee. The valuation of equity shares in the Indian market has crashed by 50 per cent and the Sensex has been slashed by half from 21,000 to 10,500 points.

Debt is hard to come by and is expensive and business knows that even if you can raise equity, sales and revenues are bound to be sluggish, given the slowdown.

Our cover story this week was put together by our business bureau led by Managing Editor Shankkar Aiyar. The story looks at what is happening to the Indian economy and its impact on people.

The Board of INDIA TODAY



Our February 2004 cover

Economists gave us their informed analysis of what we can expect from the economy in the coming months. With GDP growth slowing down, it is as if the economy is exactly where it was four years ago when the UPA Government came to power. The Government dined out on four years of global growth which covered its failings but these are now in sharp focus. It is outrageous that in this time of gloom and doom, there are investment proposals worth Rs 5 lakh crore which if cleared would boost the flagging economy but are still awaiting an official go-ahead.

The irony is that the fundamentals of the economy are still sound but there is a monumental crisis of confidence and India's so-called A-team of Manmohan Singh, P. Chidambaram and Montek Singh Ahluwalia must now think of ways to restore this confidence and boost growth. There is also a need to insulate the real economy from the financial sector. Barely a fifth of India's \$1-trillion economy is dependent on global trade and so there are predictions that growth projections around India's domestic economy lie somewhere between 7 and 7.5 per cent.

That doesn't change the fact that this year's Diwali is going to be very quiet, with no bang and hardly any sparkle.

Aroon Purie
(Aroon Purie)